

Chapter 790

WELLS

ARTICLE I Unconventional Gas Well Fee

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[HISTORY: Adopted by the County Council of Allegheny County as indicated in article histories. Amendments noted where applicable.]

ARTICLE I
Unconventional Gas Well Fee
[Adopted 4-3-2012 by Ord. No. 7-12]

§ 790-1. Definitions.

The following words and phrases when used in this article shall have the meanings given to them in this section unless the context clearly indicates otherwise:

ACT — Act 13 of 2012.

COMMISSION — The Pennsylvania Public Utility Commission.

COUNTY — The County of Allegheny.

DEPARTMENT — The Department of Environmental Protection of the Commonwealth of Pennsylvania.

FEE — The unconventional gas well fee authorized for imposition under Section 2302 of the Act (relating to unconventional gas well fee).¹

NATURAL GAS — A fossil fuel consisting of a mixture of hydrocarbon gases, primarily methane, and possibly including ethane, propane, butane, pentane, carbon dioxide, oxygen, nitrogen and hydrogen sulfide and other gas species. The term includes natural gas from oil fields known as associated gas or casing head gas, natural gas fields known as nonassociated gas, coal beds, shale beds and other formations. The term does not include coal bed methane.

PRODUCER — A person or its subsidiary, affiliate or holding company that holds a permit or other authorization to engage in the business of severing natural gas for sale, profit or commercial use from an unconventional gas well in this commonwealth. The term shall not include a producer that severs natural gas from a site used to store natural gas that did not originate from the site.

SPUD — The actual start of drilling of an unconventional gas well.

UNCONVENTIONAL FORMATION — A geological shale formation existing below the base of the Elk Sandstone or its geologic equivalent stratigraphic interval where natural gas generally cannot be produced at economic flow rates or in economic volumes except by vertical or horizontal well bores stimulated by hydraulic fracture treatments or by using multilateral well bores or other techniques to expose more of the formation to the well bore.

UNCONVENTIONAL GAS WELL — A bore hole drilled or being drilled for the purpose of or to be used for the production of natural gas from an unconventional formation.

§ 790-2. Imposition of unconventional gas well fee.

- A. The County of Allegheny hereby imposes an unconventional gas well fee on each unconventional gas well spud in this County.
- B. The fee adopted under Subsection A above is imposed on every producer and shall apply to unconventional gas wells spud in this County regardless of when spudding occurred. Unconventional gas wells spud before the fee is imposed shall be considered to be spud in the calendar year prior to the imposition of the fee for purposes of determining the fee under § 790-2 of this article.²

1. Editor's Note: See 58 Pa.C.S.A. § 2302.

2. Editor's Note: For the amount of the fee, see § 790-3.

§ 790-3. Amount of fee; automatic readjustment; cessation of payment of fee.

- A. The fee herein imposed on unconventional gas wells spud in this County by a producer shall be in the amount as fixed by Subsection (b) of Section 2302 of the Act and as automatically adjusted on an annual basis by the Commission in accordance with Subsection (c) of Section 2302 of the Act.³
- B. Payments of the unconventional gas well fee shall cease upon certification to the Department by the producer that an unconventional gas well has ceased production and has been plugged according to the regulations established by the Department.

§ 790-4. Related administrative requirements.

All other provisions set forth Part II, Chapter 23, of the Act relating to the imposition, payment and administration of an unconventional gas well fee on unconventional gas wells spud in this County by a producer, to the extent applicable, are incorporated by reference in their entirety herein as part of this article.

§ 790-5. Well information.

The County Manager is authorized to request from time to time a list of all spud unconventional gas wells from the Department.

§ 790-6. Use of Act 13 funds.

Pursuant to Subsection (g) of Section 2314 of the Act,⁴ all funds received by the County from the distribution of Act 13 funds shall be used only for the following purposes associated with natural gas production from unconventional gas wells within the County:

- A. Construction, reconstruction, maintenance and repair of roadways, bridges and public infrastructure.
- B. Water, stormwater and sewer systems, including construction, reconstruction, maintenance and repair.
- C. Emergency preparedness and public safety, including law enforcement and fire services, hazardous material response, 911, equipment acquisition and other services.
- D. Environmental programs, including trails, parks and recreation, open space, floodplain management, conservation districts and agricultural preservation.
- E. Preservation and reclamation of surface and subsurface waters and water supplies.
- F. Tax reductions, including homestead exclusions.
- G. Projects to increase the availability of safe and affordable housing to residents.
- H. Records management, geographic information systems and information technology.
- I. The delivery of social services.
- J. Judicial services.

3. Editor's Note: See 58 Pa.C.S.A. § 2302(b) and (c).

4. Editor's Note: See 58 Pa.C.S.A. § 2314(g).

- K. For deposit into the County's capital reserve fund if the funds are used solely for a purpose set forth in this subsection.
- L. Career and technical centers for the training of workers in the oil and gas industry.
- M. Local or regional planning initiatives under the Act of July 31, 1968 (P.L. 805, No. 247), known as the Pennsylvania Municipalities Planning Code.⁵

§ 790-7. When effective; transmittal.

- A. This article shall enter into effect immediately and shall remain in effect until this article is repealed by County Council or until Part II, Chapter 23, of the Act either expires in accordance with Section 2318 of the Act⁶ or the Act is repealed by the General Assembly of the Commonwealth of Pennsylvania.
- B. Upon final approval, the County Manager shall transmit a copy of this article to the Department and to the Commission.

5. Editor's Note: See 53 P.S. § 10101 et seq.

6. Editor's Note: See 58 Pa.C.S.A. § 2318.